

Sample Trade

Cody is in high school. He is not sure what he wants to do for a living, but he still has a few years to figure it out before he graduates. When he is not chasing cheerleaders, he either has his nose buried in the financial websites or is reviewing charts on the computer screen. His interest in stocks follows in his father's footsteps: The man works for a brokerage firm and taught Cody the ropes.

Although Cody does not belong to the investment club at school, he pals around with the players. One day, he overheard them talking about the stock pictured in [Figure 21.5](#). At first he did not think much about it until he looked deeper. That is when he saw a cup-with-handle pattern.

He was not convinced the stock was a good trade, and did not have the money to buy it anyway. He decided to paper trade it to see what he could learn. On the daily time scale, he saw an inner cup forming at point C, so that is the one he decided to trade.

Week after week, he waited for the buy signal that did not come. Eventually, the stock climbed above the right cup rim but he missed it. When he pulled up the stock chart on his computer, a throwback had already occurred. So he waited for price to climb above the cup rim again.

That happened on 9 May, his girlfriend's birthday. Sensing a positive omen, he made a notation to buy the stock, on paper, at the closing price the following day (filled at 15.25). When he met his girlfriend the next day, she was not impressed with the birthday present he gave her, and the stock closed lower as well.